

ARABIAN FOOD INDUSTRIES COMPANY
(DOMTY) - S.A.E AND IT'S SUBSIDIARY

INTERIM CONSOLIDATED FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31 March 2024
TOGETHER WITH REVIEW REPORT

Arabian Food Industries Company (Domty) – S.A.E and it's subsidiary

Interim Consolidated financial statements

For the Period ended 31 March 2024

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Limited review report for the Consolidated interim financial statement

To: The Board of Directors of Arabian Food Industries Company (Domty) - (S.A.E)

Introduction

We have reviewed the accompanying consolidated interim financial statements of Arabian Food Industries Company (Domty) - (S.A.E) comprised of the consolidated interim statement of financial position as of March 31, 2024, and the related consolidated interim statements of profit or loss, comprehensive income, changes in equity and cash flows for the three-months then ended, and a summary of significant accounting policies and other explanatory notes. Management is responsible for the preparation and fair presentation of these consolidated interim financial statements in accordance with the Egyptian Accounting Standard No. 30. Our responsibility is to express a conclusion on these interim consolidated financial statements based on our review.

Scope of Review

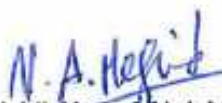
We conducted our review in accordance with the Egyptian Standards on Review Engagements No. 2410, "Review of Interim Financial Statements Performed by the Independent Auditor of the Entity". A review of consolidated financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with the Egyptian Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion on these consolidated interim financial statements.

The company's consolidated financial statements for the year ended December 31, 2023, were audited by another auditor who issued his unqualified audit opinion dated March 10, 2024, on consolidated financial statements.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying consolidated interim financial statements do not present fairly, in all material respects the consolidated financial position of Arabian Food Industries Company (Domty) - (S.A.E), as of March 31, 2024; and of its financial performance and its cash flows for the three-months then ended in accordance with Egyptian Accounting Standard No. 30 "Interim Financial Reporting".

Cairo, May 22, 2024


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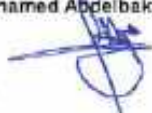

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ARABIAN FOOD INDUSTRIES COMPANY (DOMTY) – SAE AND IT'S SUBSIDIARY
INTERIM CONSOLIDATED STATEMENT OF FINANCIAL POSITION
As of 31 March 2024

		31 March 2024	31 December 2023
	Note	EGP	EGP
Assets			
Non-current assets			
Property, plant, and equipment	(3)	777,075,980	776,875,848
Projects under construction	(4)	72,462,022	38,909,533
Investments in Associate	(5)	3,365,395	3,365,395
Total non-current assets		852,903,397	819,150,776
Current assets			
Inventories	(6)	1,139,385,610	884,981,615
Accounts and notes receivable	(7)	1,224,298,840	938,184,238
Prepayments and other debit balances	(8)	604,205,132	423,958,794
Financial investment at amortized cost - Treasury bills	(9)	375,268,091	-
Cash on hand and at banks	(10)	279,255,117	522,517,539
Total current assets		3,522,412,790	2,779,642,186
Total assets		4,375,316,187	3,598,792,962
Equity			
Issued and paid-up capital	(16)	56,521,739	56,521,739
Legal reserve	(16)	28,260,870	28,260,870
Special reserve (Share premium)	(16)	283,422,423	283,422,423
Other reserve		170,196	170,196
Retained earnings	(17)	1,073,474,842	918,900,889
Fixed assets adjustments surplus	(33)	16,994,661	18,305,818
Business combination reserve	(25)	(4,503,358)	(4,503,358)
Equity attributable to shareholders of the parent company		1,454,341,373	1,301,038,577
Non-controlling Interests		8,170	8,170
Total Equity		1,454,349,543	1,301,046,747
Non-current liabilities			
Long term loans	(15)	104,688,329	117,969,038
Lease liability – long term	(28)	30,728,711	21,866,769
Notes payable – long term		-	12,910
Deferred tax liabilities	(18)	28,913,650	32,160,667
Total non-current liabilities		164,331,690	172,009,384
Current liabilities			
Credit facilities – short term	(12)	1,890,844,554	1,383,122,886
Short term loans	(15)	73,000,051	65,183,311
Lease liability – short term	(28)	17,780,706	11,865,775
Trade and notes payable	(13)	274,067,562	293,868,195
Provisions	(11)	62,303,207	57,858,370
Accrued expenses and other credit balances	(14)	242,059,404	187,856,244
Income tax		196,579,470	145,962,250
Total current liabilities		2,756,634,954	2,125,736,831
Total liabilities		2,920,966,644	2,297,746,215
Total equity and liabilities		4,375,316,187	3,598,792,962

Finance Managing Director
Mohamed Abdelbaky



Chairman
Eng. Omar Mohamed El Damaty



- Review report attached.

- The accompanying notes from (1) to (35) form an integral part of these consolidated financial statements.

ARABIAN FOOD INDUSTRIES COMPANY (DOMTY) – SAE AND ITS SUBSIDIARY
INTERIM CONSOLIDATED STATEMENT OF PROFIT OR LOSS
For the period ended 31 March 2024

		<u>From 1 January 2024</u> <u>To 31 March 2024</u>	<u>From 1 January 2024</u> <u>To 31 March 2024</u>
	Note	EGP	EGP
Net sales	(29)	2,282,168,947	1,698,847,594
Cost of sales	(29)	<u>(1,788,008,019)</u>	<u>(1,292,654,264)</u>
Gross profit		494,160,928	406,193,330
Selling and marketing expenses	(19)	(242,606,070)	(160,905,299)
General and administrative expenses	(20)	(21,322,675)	(18,097,113)
Other operating income	(21)	17,126,026	13,577,478
Provisions no longer required		-	561,268
Impairment in financial investments at amortized cost (Treasury bills)	(9)	(181,264)	-
Provisions	(11)	<u>(10,811,579)</u>	<u>(2,572,700)</u>
Operating income		236,365,346	238,756,964
Finance income	(22)	20,777,958	23,181,914
Finance expenses	(23)	<u>(50,398,834)</u>	<u>(60,788,910)</u>
Profits for the period before income taxes and medical insurance contribution		206,744,470	201,149,968
Contribution in Comprehensive Insurance		<u>(6,091,471)</u>	<u>(4,489,921)</u>
Profits for the period before income taxes		200,652,999	196,660,047
Income tax expenses	(18)	<u>(47,350,203)</u>	<u>(45,303,646)</u>
Profits for the period after income taxes		153,302,796	151,356,401
Attributable to:			
Shareholder's share of the parent company		153,302,796	151,356,431
Non-Controlling interest		-	(30)
		<u>153,302,796</u>	<u>151,356,401</u>
Earnings per share	(26)	<u>0.440</u>	<u>0.435</u>

- The accompanying notes from (1) to (35) form an integral part of these consolidated financial statements.

ARABIAN FOOD INDUSTRIES COMPANY (COMTY) – SAE AND IT'S SUBSIDIARY
INTERIM CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
For the period ended 31 March 2024

	<u>From 1 January 2024</u> <u>To 31 March 2024</u> <u>EGP</u>	<u>From 1 January 2023</u> <u>To 31 March 2023</u> <u>EGP</u>
Profits for the period	153,302,796	151,356,401
Other comprehensive income	-	-
Total comprehensive income for the period	153,302,796	151,356,401
Distribution as follows		
Shareholders' share of the parent company	153,302,796	151,356,431
Share of non-controlling interest	-	(30)
	153,302,796	151,356,401
Earnings per share	0.440	0.435

- The accompanying notes from (1) to (35) form an integral part of these consolidated financial statements.

ARABIAN FOOD INDUSTRIES COMPANY (JOINTLY) – S.A.E AND ITS SUBSIDIARY
INTERIM CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
For the period ended 31 March 2024

	Issued and paid up capital	Legal reserve	Special reserve- share premium	Other reserves	Retained earnings	Fixed assets adjustments surplus	Business combination reserve	Total	Non-controlling rights	Total
	EGP	EGP	EGP	EGP	EGP	EGP	EGP	EGP	EGP	EGP
Balance as of 1 January 2023	56,521,739	26,260,870	283,422,423	176,196	755,481,971	23,045,006	(4,503,356)	1,124,390,849	9,436	1,124,405,287
Transferred from Fixed assets adjustment surplus to retained earnings Note (33)	-	-	-	-	1,790,344	(1,790,344)	-	-	-	-
Profits for the period	-	-	-	-	151,356,431	-	-	151,356,431	(30)	151,356,401
Balance as of 31 March 2023	<u>56,521,739</u>	<u>26,260,870</u>	<u>283,422,423</u>	<u>176,196</u>	<u>888,628,746</u>	<u>23,254,664</u>	<u>(4,503,356)</u>	<u>1,275,755,280</u>	<u>9,406</u>	<u>1,275,764,686</u>
Balance as of 1 January 2024	56,521,739	26,260,870	283,422,423	176,196	916,860,889	18,305,818	(4,503,356)	1,301,036,577	8,170	1,301,048,747
Transferred from Fixed assets adjustment surplus to retained earnings Note (33)	-	-	-	-	1,311,157	(1,311,157)	-	-	-	-
Profits for the period	-	-	-	-	153,302,796	-	-	153,302,796	-	153,302,796
Balance as of 31 March 2024	<u>56,521,739</u>	<u>26,260,870</u>	<u>283,422,423</u>	<u>176,196</u>	<u>1,073,474,842</u>	<u>16,994,661</u>	<u>(4,503,356)</u>	<u>1,454,341,373</u>	<u>8,170</u>	<u>1,454,349,543</u>

- The accompanying notes from (1) to (35) form an integral part of these consolidated financial statements.

ARABIAN FOOD INDUSTRIES COMPANY (DOMTY) – SAE AND ITS SUBSIDIARY
INTERIM CONSOLIDATED STATEMENT OF CASH FLOWS
For the period ended 31 March 2024

	Note	From 1 January 2024 To 31 March 2024 EGP	From 1 January 2023 To 31 March 2023 EGP
Cash flows from operating activities			
Profits for the period before income taxes		200,652,999	196,660,047
Depreciation of property, plant and equipment	(3)	27,516,400	25,816,480
Interest on treasury bills	(22)	(10,262,479)	(18,602,743)
Accrued withholding tax on treasury bills interest	(9)	3,852,496	5,076,142
Adjustment on accrued withholding tax on treasury bills interest		-	(3,096,544)
Interest on lease liability	(23)	1,413,471	1,042,030
Foreign exchange differences on lease liability	(28)	3,873,680	2,808,515
Foreign exchange differences on loan balances	(15)	10,517,597	6,602,657
Provisions	(11)	10,811,579	2,572,700
Impairment of accounts and notes receivable	(7)	23,687,761	15,072,325
Impairment of prepayments and other debit balances	(8)	-	563,392
Impairment in financial investment at amortized cost (Treasury bills)	(9)	181,284	-
Provisions no longer required		-	(561,268)
Provisions used	(11)	(6,366,742)	(2,633,712)
(Gain) from sale of property, plant and equipment	(3)	-	(1,061,499)
		256,878,046	230,256,502
Change in inventories		(244,403,995)	(183,119,846)
Change in accounts and notes receivable		(309,802,363)	(210,005,906)
Change in prepayments and other debit balances		(72,262,517)	(96,825,928)
Change in trade and notes payable		(19,813,543)	(18,623,461)
Change in accrued expenses and other credit balances		54,203,160	44,284,984
Cash flows (used in) operating activities		(335,201,212)	(234,033,675)
Income taxes paid		(7,983,821)	(8,741,213)
Income taxes paid from collected treasury bills interest		-	(1,740,951)
Net cash flows (used in) operating activities		(343,185,033)	(244,515,839)
Cash flows from financing activities			
(Payments) for purchase of property, plant and equipment	(3)	(13,347,227)	(4,713,782)
Proceeds from sale of property, plant and equipment	(3)	-	1,077,753
(Payments) for purchase of projects under construction	(4)	(33,552,489)	(26,358,641)
Proceeds from treasury bills interest		-	8,704,754
(Payments) to acquire treasury bills		(360,039,392)	(219,435,216)
Proceeds from matured treasury bills		-	206,995,247
Net cash flows (used in) investing activities		(406,939,108)	(33,729,885)
Cash flows from financing activities			
Proceeds from credit facilities		2,620,349,475	2,153,605,269
(Payment) of credit facilities		(2,092,627,607)	(1,970,112,547)
Proceeds from long-term loans		-	46,775,691
(Payment) of long-term loans		(15,980,568)	(8,864,140)
(Payment) of lease liabilities	(28)	(1,413,471)	(1,042,030)
(Payment) of lease liability interest	(23)	(3,466,112)	(2,867,969)
Net cash flows provided from financing activities		506,861,719	219,494,294
Net decrease in cash and cash equivalent during the period		(243,262,422)	(58,751,430)
Cash and cash equivalent - beginning of the period		522,517,539	440,158,488
Cash and cash equivalent - end of the period	(10)	279,255,117	381,407,058

- The accompanying notes from (1) to (35) form an integral part of these consolidated financial statements.

1- REPORTING ENTITY

Arabian Food Industries Company (Domty) – S.A.E (the "Company") or (the "Parent Company") was originally established under the name of Damati Company for Food Industries as a limited liability company under contract No. 18/84 dated 14 March 1984. The contract was amended on 18 July 1988 when the Company's headquarters changed, and on 14 August 1988 an Extraordinary General Assembly meeting was held and resolved to change the company's legal form from limited liability company to joint stock company subject to the Companies Law No. 159 of 1981 and its executive regulations.

Based on the shareholders resolution made in the Extraordinary General Assembly meeting held on 16 August 2005 the Company's name was changed to Domty Company for Food Industries "S.A. E"

Based on the shareholders resolution made in the Extraordinary General Assembly meeting held on 6 August 2006 the company name changed to Arabian Food Industries Company (Domty) S.A.E instead of Domty Company for Food Industries and the commercial register was amended.

The Company has been registered under the commercial register number 80124 on 7 September 1988.

The company's period is 50 years starting from 7 September 1988 till 6 September 2038 and is renewable.

The Company's headquarter is located at 32 c Taha Hussein Street, (previously Murad Street) - Giza

Location of activity:

1- Second Industrial Zone, Block 12, 6th of October City.

2- Northern Expansion Area (CBC) – 6th of October City, Blocks (43-44-45-46-63-64-65-66)

The board of directors can decide to set up branches or agencies for the company in Egypt or outside, except for Sinai Peninsula. The entity is obliged to agree prior to opening any branches or in the case of relocating the headquarters to another governate, must be based on the decision of the extraordinary general assembly.

The purpose of the company is to manufacture dairy products of all kinds (ice cream - yogurt - white cheese and processed cheese - sterile milk) as well as the expansion in the manufacture of other food products, reclamation and cultivation of land, the establishment of feed factories, dairy production farms, cattle breeding, all food industries, the manufacture of special foods, nutritional supplements and baked goods of all kinds, the import of processed and semi-processed foodstuffs from abroad, packaging and distribution, the sale and marketing of products and food manufactures for the account of others from local and foreign companies and agencies in the food manufacturing industry.

It has the right to participate in companies with similar activity and the use of foreign expertise in the areas of previous activity, to obtain the right to know from foreign companies with similar activity. The company has the right to import all production requirements necessary for its activity and export all its products to global markets, and the company may have an interest or participate in any way with entities that engage in similar business, or that may cooperate to achieve its purpose in Egypt or abroad.

The interim consolidated financial statements comprise the financial statements of the Company and its subsidiary, El Tatweer Food Industries Company (S.A.E) (collectively, the "Group"). On 30 April 2014 the Company acquired 99.99% of the shares of El Tatweer Food Industries Company (S.A.E) (note 2).

EL Tatweer Food Industries Company was established as a joint stock company subject to the Companies Law No. 8 of 1997 and its regulations and for the purpose of establishing and operating a factory for the manufacture of different kinds of cheese, canning juice and the establishing of stores and a refrigerator for dairy products by cooling and freezing for the Company and for others, subject to the laws and its regulations.

The Company is registered under the commercial register number 37566 in the 11 March 2009.

The interim consolidated financial statements of the Company for the period ended 31 March 2024 were authorized for issuance in accordance with a resolution of the board of directors on 22 May 2024.

2- BASIS OF PREPARATION OF THE CONSOLIDATED FINANCIAL STATEMENTS

The interim consolidated financial statements have been prepared under the going concern assumption on a historical cost basis.

The interim consolidated financial statements are prepared and presented in Egyptian pounds, which is the company's functional currency.

On 30 April 2014, the Company acquired 99.99% El Tatweer for Food Industries Company (S.A.E) that was previously under the control of the shareholders of the Parent (the "Joint Control Transaction") for LE 10,752,733 in cash. As this transaction involved the combination of businesses under joint control, the pooling of interest in presenting the consolidated financial statements for the years ending 2012, 2013, 2014. It displays the group's results as if El Tatweer for Food Industries Company was always a part of the group. Based on this, the company's assets and liabilities were transferred using historical cost. The consolidated financial statements show the group's activity results and changes in owner's equity of the company and its subsidiary as if it were part of the group for the years. The method of accounting was applied in the presentation of the consolidated financial statements as of 31 December 2012, 2013, 2014 which present the results of the Group as if El Tatweer for Food Industries Company (S.A.E) had always been part of the Group. Accordingly, the assets and liabilities transferred to the Company were recognized at historical amounts. The consolidated financial statements present the results and changes in equity of the Company and its subsidiary as if the Group had been in existence throughout the years presented. On 24 May 2022, the investments of the Arab Food Industries Company "Domty" in El Tatweer for Food Industries Company (S.A.E) were increased by an amount of 3,750,000 Egyptian pounds, and this amount represents the value of completing the capital increase of the El Tatweer for Food Industries Company (S.A.E) AT 26 October 2023.

Statement of compliance

The interim consolidated financial statements of the Group have been prepared in accordance with the Egyptian Accounting Standards and the applicable laws and regulations. The accounting policies applied this year are consistent with those applied in the previous year.

The company has applied the amended Egyptian Accounting Standard No. (13) 2024 "Effects of changes in foreign exchange rates" issued on March 3, 2024 and is applicable to financial periods commencing on or after January 1, 2024 and there is no impact on the opening balance of retained earnings on the date of application.

Basis of consolidation

(a) Subsidiaries

Subsidiaries are all entities over which the Group has the power to govern the financial and operating policies generally a shareholding of more than one half of the voting rights. The existence and effect of potential voting rights that are currently exercisable or convertible are considered when assessing whether the Group controls another entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are de-consolidated from the date that control ceases.

Accounting for business combination under EAS 29 only applies if it is considered that a business has been acquired. For acquisitions meeting the definition of a business, the purchase method of accounting is used to account for the acquisition of subsidiaries by the Group. The cost of an acquisition is measured as the fair value of the assets given, equity instruments issued, and liabilities incurred or assumed at the date of exchange, plus costs directly attributable to the acquisition. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date, irrespective of the extent of any Non-Controlling interest. The excess of the cost of acquisition over the fair value of the Group's share of the identifiable net assets acquired is recorded as goodwill. If the cost of acquisition is less than the fair value of the net assets of the subsidiary acquired, the difference is recognized directly in the statement of income.

Inter-company transactions, balances and unrealized gains on transactions between Group companies are eliminated. Unrealized losses are also eliminated. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

(b) Transactions with Non-Controlling Interests

The Group applies a policy of treating transactions with non-Controlling interests as transactions with equity owners of the Group.

For purchases from non-Controlling interests, the difference between any consideration paid and the relevant share acquired of the carrying value of the net assets of the subsidiary is recorded in equity. Gains or losses on disposals to Non-Controlling interests are also recorded in equity.

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES

The preparation of these Consolidated financial statements requires management to make judgments and estimates that affect the reported amounts of revenues, expenses, assets and liabilities, the accompanying disclosures and the disclosure of contingent liabilities at the reporting date. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the assets or liabilities affected in future periods.

Estimates and their underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised.

The key judgements and estimates that have a significant impact on the Consolidated financial statement of the Company are discussed below:

2-1-1 Judgments

Revenue recognition for sale of goods

In making their judgment, management considered the detailed criteria for the recognition of revenue from the sale of goods as set out in "EAS 48 Revenue from contracts with customers", and, in particular, whether the significant risks and rewards of ownership of the goods have passed to the buyer.

2-1-2 Estimates

Impairment of trade and other receivables

An estimate of the collectible amount of trade and other receivables is made when collection of the full amount is no longer probable. For individually significant amounts, this estimate is performed on an individual basis. Amounts which are not individually significant, but are past due, are assessed collectively and a provision is applied according to the length of time past due, based on historical recovery rates.

Useful lives of fixed assets

The Company's management determines the estimated useful lives of its fixed assets for calculating depreciation. This estimate is determined after considering the expected usage of the asset or physical wear and tear. The management periodically reviews the estimated useful lives and the depreciation method to ensure that the method and the period of depreciation are consistent with the expected pattern of economic benefits from these assets.

Taxes

The Company is subject to income taxes in Egypt. Significant judgment is required to determine the total provision for current and deferred taxes. The Company establishes provision, based on reasonable estimates, for possible consequences of audits by the tax authorities in Egypt. The amount of such provision is based on various factors, such as experience of previous tax audits and different interpretations of tax regulations by the Company and the responsible tax authority. Such differences of interpretations may be on a wide variety of issues depending on the conditions prevailing in Egypt.

Deferred tax assets are recognised for unused accumulated tax losses to the extent that it is probable that taxable profits will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits.

Impairment of non-financial assets

The Company assesses whether there are any indicators of impairment for all non-financial assets at each reporting date. The non-financial assets are tested for impairment when there are indicators that the carrying amounts may not be recoverable. When value in use calculations are undertaken, management estimates the expected future cash flows from the asset or cash-generating unit and chooses a suitable discount rate in order to calculate the present value of those cash flows.

Provision for sales returns

The company's management determines the estimates of the provision for sales returns. This estimate is determined after considering the previous experience of sales returns, revenue volume and sales volume, and management periodically reviews the estimated provision value to ensure that the provision is sufficient to cover sales returns.

2-2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

2-2-1 Foreign currency translation

- Transactions in foreign currencies are initially recorded using the exchange rate prevailing on the date of the transaction.
- Monetary assets and liabilities denominated in foreign currencies are retranslated using the exchange rate prevailing at the reporting date. All differences are recognized in the statement of profit or loss.
- Nonmonetary assets and liabilities that are measured at historical cost in foreign currency are translated using the exchange rates prevailing at the dates of the initial recognition.

2-2-2 Financial Instruments

Egyptian Accounting Standard 47 "Financial Instruments" which replaced the Egyptian Accounting Standard 26 Financial Instruments: Recognition and Measurement. Egyptian Accounting Standard 47 was issued in 2019 and the standard began to be applied on or after 1 January 2021 in Egypt. Except for hedge accounting, retrospective application is required, but adjustment of comparative information is not mandatory.

The standard deals with three aspects of the accounting for financial instruments: classification and measurement; impairment; and hedge accounting.

Classification and measurement

Under EAS 47, debt instruments are subsequently measured at fair value through profit or loss, amortized cost, or fair value through OCI. The classification is based on two criteria: The Company's business model for managing the assets; and whether the instruments' contractual cash flows represent 'solely payments of principal and interest' on the principal amount outstanding.

The assessment of the Company's business model was made as of the date of initial application and the assessment of whether contractual cash flows on debt instruments are solely comprised of principal and interest was made based on the facts and circumstances as at the initial recognition of the assets.

Impairment

The new impairment model according to EAS 47 requires the recognition of impairment provisions based on expected credit losses rather than only incurred credit losses as is the case under EAS 26. It applies to financial assets classified at amortized cost, debt instruments measured at fair value through other comprehensive income, contract assets under EAS 48 Revenue from Contracts with Customers, lease receivables, loan commitments and certain financial guarantee contracts.

Financial instruments – initial recognition and subsequent measurement

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

1) Financial assets

Financial assets are classified, at initial recognition, as subsequently measured at amortized cost, fair value through other comprehensive income (OCI), and fair value through profit or loss.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Company's business model for managing them.

For a financial asset to be classified and measured at amortized cost or fair value through OCI, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level. Financial assets with cash flows that are not SPPI are classified and measured at fair value through profit or loss, irrespective of the business model.

The Company's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both. Financial assets classified and measured at amortized cost are held within a business model with the objective to hold financial assets in order to collect contractual cash flows while financial assets classified and measured at fair value through OCI are held within a business model with the objective of both holding to collect contractual cash flows and selling.

Impairment of financial assets

The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Company's historical experience and informed credit assessment, that includes forward-looking information.

The Company consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash.

At each reporting date, the Company assesses whether financial assets carried at amortised cost and debt securities at FVOCI are credit impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

ii) Financial liabilities

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

2-2-3 Lease Contracts

- ESA 49 Requires lessees to recognize a lease liability reflecting future lease payments and a 'right-of-use asset' for virtually all lease contracts. There is an optional exemption of certain short-term leases and leases of low-value assets.
- The company assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.
- The company applies a single recognition and measurement policy for all leases, except for short-term leases and leases of low-value assets.
- The company recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

A- Right-of-use assets

- The company recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use).
- Right-of-use assets are measured at cost, less any accumulated amortization and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received.
- Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets based on the entity's applied amortization policy.
- If ownership of the leased asset transfers to the company at the end of the lease term or the cost reflects the exercise of a purchase option at the end of the contract, amortization is calculated using the estimated useful life of the asset based on the entity's applied amortization policy.
- The right-of-use assets are also subject to impairment.

B- Lease Liability

- At the commencement date, a lessee shall measure the lease liability at the present value of the lease payments that are not paid at that date. The lease payments shall be discounted using the interest rate implicit in the lease if that rate can be readily determined. If that rate cannot be readily determined, the lessee shall use the lessee's incremental borrowing rate.
- At the commencement date, the lease payments included in the measurement of the lease liability comprise the following payments for the right to use the underlying asset during the lease term that are not paid at the commencement date:
 - Fixed payments, less any lease incentives receivable.

- Variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date.
- Amounts expected to be payable by the lessee under residual value guarantees.
- The exercise price of a purchase option if the lessee is reasonably certain to exercise that option.
- Payments of penalties for terminating the lease, if the lease term reflects the lessee exercising an option to terminate the lease.

2-2-4 Revenue from contracts with customers

- Egyptian Accounting Standard No. (48) "Revenue from contracts with customers" requires enterprises to exercise judgment and take into account all relevant facts and circumstances when applying each step of the model to contracts with customers. The standard also specifies the method for calculating the incremental costs of obtaining a contract and the costs directly related to the performance of the contract. The standard also requires relevant disclosures.

- The company recognizes revenue from contracts with customers based on the five-step model, as it is disclosed in the Egyptian Accounting Standard No. (48) "Revenue from contracts with customers" sets a new five-step model, which will be applied to revenue arising from contracts with customers as follows:

- **Step 1:** Defining the contract(s) with the customer: A contract is defined as an agreement between two or more parties that creates enforceable rights and obligations. It outlines the bases and criteria that must be met for each contract.
- **Step 2:** Identify the performance obligations in the contract: A performance obligation is an undertaking in the contract, a contract with the customer, to transfer a good or service to the customer.
- **Step 3:** Determine the transaction price: The transaction price is the amount of consideration that the company expects to be entitled to in exchange for transferring promised goods or services to the customer, excluding amounts collected on behalf of third parties.
- **Step 4:** Allocate the transaction price to the performance obligations stipulated in the contract. For contracts that contain more than one performance obligation, the Group will allocate the transaction price to each performance obligation at the amount to which the Group expects to be entitled in exchange for meeting each performance obligation.
- **Step 5:** Recognize revenue when the facility fulfils the performance obligation.

- **Sale of Goods**

The company's contracts with customers involve the sale of finished goods and generally include a single performance obligation. The Company has concluded that revenue from the sale of finished goods should be recognized when control of the asset is transferred to the customer, generally when the finished goods are delivered. Therefore, the application of the standard does not have any impact on the timing of revenue recognition.

- **Variable price**

- Some contracts for the sale of finished goods give customers the right to return or discount quantities. Prior to the application of Egyptian Accounting Standard No. (48), the company recognized revenue from the sale of goods measured at the fair value of the price received or receivable, after deducting returns and trade discounts. If the revenue cannot be measured reliably, the Group defers revenue recognition until the uncertainty has passed.

- Under Egyptian Accounting Standard No. (48), the return and trade discount rights increase the variable price. The variable price is estimated at the conclusion of the contract and is credited until the relevant uncertainty clears up later. The application of restrictions on the variable price did not increase the amount of revenue to be deferred.

- **Rights of return**

- When the contract provides for giving the customer the right to return the goods within a specified period, the Group has taken in its previous estimates the expected returns using the probability-weighted average method of the amounts expected to be returned.
- The amount of revenue related to the expected returns was deferred and included in the statement of financial position under the "Liability against expected sales return" item with a corresponding adjustment to the "Cost of sales" item. The carrying amount of the goods expected to be returned is included in the "Inventory".
- Under Egyptian Accounting Standard No. (48), the price received from the customer is variable because the contract allows the customer to return the products. The Group used the expected value method to estimate the goods to be returned.

Revenue recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the company and the revenue can be reliably measured.

Revenue is measured at the fair value of the consideration received, excluding discounts, rebates to customers and sales taxes or duty.

The following specific recognition criteria must also be met before revenue is recognized:

- * **Sale of goods**

Revenue from the sale of goods is recognized when the significant risks and rewards of ownership of the goods have passed to the buyer, usually on delivery of the goods. Revenue from the sale of goods is measured at the fair value of the consideration received or receivable, net of returns and allowances, trade discounts and volume rebates, if any.

- * **Interest income**

Interest income is recognized as interest accrues using the effective interest method. Interest income is included in finance income in the statement of profit or loss.

- * **Government grants**

Government grants that are received as compensation for expenses or losses already incurred for the purpose of giving immediate financial support to the company with no further related costs are recognized in the profit or loss statement in the year in which they become virtually certain, and all attached conditions are complied with.

- * **Export support revenue**

Revenues for export subsidies are recognized as accrued revenue when the export invoice is issued.

2-2-5 Property, plant and equipment and it's depreciation

Property, plant and equipment are stated at historical cost net of accumulated depreciation and accumulated impairment losses and the difference of foreign exchange difference will be added according to EAS 13-A (the effect of change in foreign exchange). Such cost includes the cost of replacing part of the plant and equipment when that cost is incurred, if the recognition criteria are met. Likewise, when a major inspection is performed, its cost is recognized in the carrying amount of the property, plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognized in the statement of profit or loss as incurred.

Depreciation of an asset starts when it is in the location and condition necessary for it to be capable of operating in the manner intended by management, and is computed using the straight-line method according to the estimated useful life of the asset as follows:

	<u>Depreciation %</u>
Buildings and constructions	2.5%
Machinery and equipment	6.7%-10%
Motor vehicles	10% - 20%
Tools	15%
Computers and software	20% -25%
Furniture and fixtures	10%-20%

Property, plant and equipment are derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset is included in the statement of income when the asset is derecognized.

The assets residual values, useful lives and methods of depreciation are reviewed at each financial year end. The Company assesses at each reporting date whether there is an indication that property, plant and equipment may be impaired. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. Impairment losses are recognized in the statement of profit or loss.

A previously recognized impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognized. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the statement of profit or loss.

2-2-6 Projects under construction

Projects under construction represent the amounts that are incurred for the purpose of constructing or purchasing property, plant and equipment until it is ready to be used in the operation, upon which it is transferred to property, plant and equipment. Projects under construction are valued at cost less impairment if any.

2-2-7 Investments in Associates

Investment in associates is investment in an entity over which the Company has a significant influence, but it is neither a subsidiary company nor a joint venture project. Significant influence exists when the company directly or indirectly owns 20% or more of the voting rights in the invested company, unless in exceptional circumstances, it can be clearly determined that such ownership does not constitute influence.

Investments in associate companies are accounted for in the consolidated financial statements using equity method accordingly, investment is initially recognized at cost, including the cost of the acquisition, and then adjusted with the change in the company's share in the net assets of the associate company during the post-acquisition period, and includes profits and losses of its share in the associate's income statement, also, the other comprehensive income of the Company is including the share in the other comprehensive income of the associate.

The book value of the investment is reduced by dividend distribution obtained from the associate company.

2-2-8 Treasury bills

In accordance with the requirements of Egyptian Accounting Standard No. (47) "Financial Instruments", treasury bills have been classified on the basis of their measurement - later - at amortized cost through profits or losses, and treasury bills that are being purchased are valued at the nominal value and the difference between the purchase cost and the nominal value is recorded as a deferred investment return of treasury bills and it is amortized with the value of the treasury bills proceeds due "Interest" for the financial period through profits or losses until the maturity date of the treasury bills, and the tax due on the treasury bills returns is recorded, and upon collection, the discounted tax is recorded in the statement of financial position until it is settled with the annual tax return.

2-2-9 Inventories

Inventory items are evaluated as follows:

- a) **Raw materials and Spare parts:** at purchase cost on a weighted average basis.
- b) **Work in process:** Based on the cost of production, the last stage that has been completed according to the lists of costs or net realizable value, whichever is less.
The cost includes direct materials, direct labor and a share of indirect industrial costs and does not include borrowing costs.
- c) **Finished goods:** at the lower of the cost of production (based on the costing sheets) or net realizable value.

Cost includes direct materials, direct labor and allocated share of manufacturing overhead excluding borrowing cost.

Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to make the sale.

The amount of any write-down of inventories to net realizable value and all losses of inventories shall be recognized in cost of sales in the statement of profit or loss in the year the write down or loss occurs. The amount of any reversal of any write-down of inventories, arising from an increase in net realizable value, shall be recognized as reduction of cost of sales in the statement of profit or loss in the year in which the reversal occurs.

The amount of any write down of inventories to net realizable value and all losses of inventories shall be recognized in cost of sales in the statement of income in the year the write down or loss occurs. The amount of any reversal of any write down of inventories, arising from an increase in net realizable value, shall be recognized as reduction of cost of sales in the statement of income in the year in which the reversal occurs.

2-2-10 Accounts receivable and other receivables

Accounts receivable and other receivables are stated at original invoice amount net of any impairment losses.

The company applies the simplified approach allowed by the Egyptian Accounting Standard No. (47) "Financial Instruments", which requires the recognition of expected credit losses on aging for customers in the statement of profits or losses.

2-2-11 Accounts and notes payable, accrued expenses and other payables

Liabilities are recognized for amounts to be paid in the future for goods or services received, whether billed by the supplier or not.

2-2-12 Provisions

Provisions are recognized when the Company has a present legal or constructive obligation as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made. Provisions are reviewed at the financial position date and adjusted to reflect the current best estimate.

Where the effect of the time value of money is material, the amount of a provision should be the present value of the expected expenditures required to settle the obligation. Where discounting is used, the increase in the provision due to the passage of time is recognized as a finance cost.

2-2-13 Social Insurance

The Company makes contributions to the Social Insurance Authority calculated as a percentage of the employees' salaries. The Company's obligations are limited to these contributions, which are expensed when due.

2-2-14 Legal reserve

According to the Company's articles of association, 5% of the net profits of the year is transferred to the legal reserve until this reserve reaches 50% of the issued capital. The reserve is used upon a decision from the general assembly meeting based on the proposal of the board of directors.

2-2-15 Borrowings

Borrowings are initially recognized at the value of the consideration received. Amounts maturing within one year are classified as current liabilities, unless the Company has the right to postpone the settlement for a year exceeding one year after the reporting date, then the loan balance should be classified as long-term liabilities.

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortized cost using the effective interest rate method. Gains and losses are recognized in the profit or loss statement when the liabilities are derecognized as well as through the effective interest rate method amortization process in the statement of profit or loss.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fee or costs that are an integral part of the effective interest rate. The effective interest rate amortization is included in finance cost in the statement of profit or loss.

2-2-16 Income taxes

Income tax is calculated in accordance with the Egyptian tax law.

Current income tax

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted at the reporting date in Egypt.

The current income tax charge is calculated on the basis of the tax laws enacted at the reporting date in Egypt. Management yearly evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax

Deferred income tax is recognized using the liability method on temporary differences between the amount attributed to an asset or liability for tax purposes (tax base) and its carrying amount in the balance sheet (accounting base) using the applicable tax rate.

Deferred tax asset is recognized when it is probable that the asset can be utilized to reduce future taxable profits and the asset is reduced by the portion that will not create future benefit.

Current and deferred tax shall be recognized as income or an expense and included in the statement of income for the period, except to the extent that the tax arises from a transaction or an event which is recognized, in the same or a different period, directly in equity.

2-2-17 Expenses

All expenses including operating expenses, general and administrative expenses and other expenses are recognized and charged to the statement of profit or loss in the financial year in which these expenses were incurred.

2-2-18 Borrowing costs

Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset that require a substantial period of time to get ready for its intended use or sale, are capitalized as part of the cost of the asset. Other borrowing costs are expensed in the period in which they are incurred. Borrowing costs are the interest and other costs that a company incurs to borrow money.

2-2-19 Employees Training Provision

This provision shall be formed in implementation of the provisions of the Labor law 12 of 2003, the decisions and regulations implementing it. This law came to regulate all labor relations between workers and employers in all sectors - the public sector, the public business sector, the private sector, and the investment sector., Under that law, the legislator established the Training and Qualification Fund under the text of Article (133), and the legislator has stipulated that the resources of that fund consist of 1% of the net profits of establishments subject to the provisions of this law, whose number of employees exceeds ten workers. Accordingly, the provision is formed at 1% on the net profit of the enterprise.

2-2-20 Comprehensive Medical Insurance

On 11 January 2018, Law No. 2 of 2018 the Comprehensive Health Insurance Law was issued, which comes into effect on the day following the expiration of six months from the date of its publication in the official publications. This law added financial burdens to employers, Employers are obliged to pay their share of the contributions of their employees at 4% per month from the wage of the insured worker and not less than LE 50 per month. The employers are obliged to pay their monthly contributions to the Social Insurance Authority. Business owners are also obligated to make a comprehensive income contribution of (0.0025) two and a half per thousand of the total annual revenues of individual establishments and companies, regardless of their nature or the legal system to which they are subject. This contribution is not considered one of the deductible costs in applying the provisions of the income tax law, and the Ministry of Finance is responsible for Collect this comprehensive income contribution according to the institution's financial report submitted to the Tax Authority

2-2-21 Related party transactions

Related parties represent associated companies, major shareholders, directors and key management personnel of the Company, and entities controlled, jointly controlled or significantly influenced by such parties. The terms and pricing policies for transactions with related parties are determined in accordance with the concluded contracts, and the prices of inter-transactions are determined according to the prices of dealing with third parties, and all legal procedures are taken to approve those transactions.

2-2-22 Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either in the principal market for the asset or liability or the most advantageous market for the asset or liability.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

For assets traded in an active market, fair value is determined by reference to quoted market bid prices.

The fair value of interest-bearing items is estimated based on discounted cash flows using interest rates for items with similar terms and risk characteristics.

For unquoted assets, fair value is determined by reference to the market value of a similar asset or is based on the expected discounted cash flows.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the Consolidated financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 – Fair value measurements are those derived from quoted prices in an active market (that are unadjusted) for identical assets or liabilities.
- Level 2 – Fair value measurements are those derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 – Fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

2-2-23 Contingent Liabilities and Assets

Contingent liabilities are not recognized in the consolidated financial statements. They are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote.

A contingent asset is not recognized in the consolidated financial statements but disclosed when an inflow of economic benefits is probable.

2-2-24 Impairment of assets

Impairment of financial assets

The Company assesses at each balance sheet date whether there is any objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if, and only if, there is objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset and has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

Impairment of non-financial assets

The Company assesses at each balance sheet date whether there is an indication that an asset may be impaired. Where the carrying amount of an asset or cash-generating unit (CGU) exceeds its recoverable

amount, the asset is considered impaired and is written down to its recoverable amount. Impairment losses are recognized in the statement of profit or loss.

A previously recognized impairment loss is only reversed if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognized. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the statement of profit or loss.

2-2-25 Statement of cash flows

The statement of cash flows is prepared using the indirect method.

2-2-26 Cash and cash equivalent

For the purpose of preparing the cash flow statement, the cash and cash equivalent comprise cash on hand, current accounts with banks and time deposits maturing within three months less bank overdrafts.

2-2-27 Segment Information

The main business segment of the company is the sector of production and sale of cheese products, the sector of production and sale of juice products, the sector of production and sale of baked goods products and periodic and annual financial reports on all revenues of the company are prepared on the basis of the existence of three main operating sectors and the executive management of the company monitors the operational units separately for the purpose of making decisions on the allocation of resources and performance evaluation.

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3 - PROPERTY, PLANT, AND EQUIPMENT

- Fixed assets and ROU assets have been merged and listed in the statement of financial position as follows :-

	31 March 2024		31 December 2023					
	EGP	EGP	EGP	EGP				
Net book value of Fixed Assets	735,184,565	747,131,861						
Net book value of ROU Assets	41,891,415	29,743,887						
	777,075,980	776,875,748						
	Land	Buildings	Machinery & equipment	Vehicles	Tools	Computers	Furniture & fixtures	Total
	EGP	EGP	EGP	EGP	EGP	EGP	EGP	EGP
Cost								
As of 1 January 2024								
Cost of capitalized assets (First option - Appendix A - Revised EAS No.13) as of 1 January 2024	8,221,307	197,879,235	825,593,770	117,043,762	29,087,985	32,224,863	15,326,392	1,221,347,048
Cost of assets using valuation factor (Third option - Appendix A - Revised EAS No.13) as of 1 January 2024	-	-	24,204,416	-	-	-	-	24,204,416
Additions	-	-	84,792,548	44,767,928	-	-	-	129,560,375
As of 31 March 2024	8,221,307	2,903,625	935,053,136	162,774,089	25,448,343	33,790,840	16,390,887	1,388,459,066
Accumulated depreciation								
As of 1 January 2024	-	(26,347,481)	(308,103,283)	(70,617,419)	(17,873,458)	(22,090,587)	(10,903,558)	(405,125,740)
Accumulated depreciation for capitalized assets (according to Option 1 - Annex A - Egyptian Accounting Standard 13) as of 1 January 2024	-	-	(16,800,912)	-	-	-	-	(16,800,912)
Accumulated depreciation for capitalized assets (according to Option 1 - Annex A - Egyptian Accounting Standard 13) as of 1 January 2024	-	-	(78,790,576)	(37,162,672)	-	-	-	(115,953,250)
Depreciation for this year	-	(1,282,842)	(17,440,274)	(2,862,900)	(500,512)	(1,039,842)	(301,066)	(23,397,336)
Depreciation for capitalized assets (First option - Appendix A - Revised EAS No.13)	-	-	(586,130)	-	-	-	-	(586,130)
Depreciation for assets using valuation factor (Third option - Appendix A - Revised EAS No.13) - note (33)	-	-	(632,250)	(678,937)	-	-	-	(1,311,157)
As of 31 March 2024	-	(27,630,323)	(462,453,437)	(111,311,898)	(18,373,970)	(23,130,229)	(10,394,624)	(653,274,501)
Net book value as of 31 March 2024	8,221,307	173,169,521	476,599,699	51,462,791	7,074,373	10,660,611	7,996,263	735,184,565
Net value as of 31 December 2023	8,221,307	171,531,838	490,796,952	54,031,517	7,164,507	10,134,076	5,232,764	747,131,861

3 - PROPERTY, PLANT AND EQUIPMENT – (CONTINUED)

- The cost of fixed assets as of 31 March 2024 includes EGP 144,431,881 which represents fully depreciated assets that are still in use.
- Depreciation expense is allocated as follows: Disposals of property, plant and equipment represent the sale of some assets as follows:

	31 March 2024
	EGP
Cost of sales	20,415,363
Selling and marketing expenses (note 19)	3,792,465
General and administrative expenses (note 20)	1,086,789
	<u>25,294,623</u>

- Depreciation expense also allocated as follows:

	31 March 2024
	EGP
Depreciation for the period	23,397,336
Depreciation for the period (First option - Appendix A - Revised EAS No. 13)	586,130
Depreciation for the period (Third option - Appendix A - Revised EAS No. 13)	1,311,157
	<u>25,294,623</u>

3 - PROPERTY, PLANT AND EQUIPMENT – (CONTINUED)

RIGHT OF USE ASSETS

	Buildings	Machines and equipment	Total
	EGP	EGP	EGP
Cost			
As of 1 January, 2024	38,519,943	13,196,762	51,716,705
Additions	14,369,305		14,369,305
As of 31 March, 2024	<u>52,889,248</u>	<u>13,196,762</u>	<u>66,086,010</u>
Accumulated Amortization			
As of 1 January, 2024	(19,040,201)	(2,932,617)	(21,972,818)
Amortization for the period	(1,946,845)	(274,932)	(2,221,777)
Accumulated Amortization as of 31 March, 2024	<u>(20,987,046)</u>	<u>(3,207,549)</u>	<u>(24,194,595)</u>
Net Book Value as of 31 March 2024	<u>31,902,202</u>	<u>9,989,213</u>	<u>41,891,415</u>
Net Book Value as of 31 December 2023	<u>19,479,742</u>	<u>10,264,145</u>	<u>29,743,887</u>

- Amortization expense also allocated as follows:

	31 March 2024
	EGP
Cost of sales	1,262,569
Selling and marketing expenses (note 19)	959,208
	<u>2,221,777</u>

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3 - PROPERTY, PLANT, AND EQUIPMENT – (CONTINUED)

- Fixed assets and ROU assets have been merged and listed in the statement of financial position as follows: -

	31 March 2023	31 December 2022	
	EGP	EGP	
Net book value of Fixed Assets	636,232,057	655,214,928	
Net book value of ROU Assets	35,919,361	38,055,442	
	<u>672,151,418</u>	<u>693,270,370</u>	
	<u>Machinery & equipment</u>	<u>Vehicles</u>	<u>Tools</u>
	EGP	EGP	EGP
As of 1 January 2023			
Cost of capitalized assets, (First option - Appendix A - Revised EAS No. 13) as of 1 January 2023	711,789,646	107,379,285	22,518,781
Cost of assets using valuation factor (Third option - Appendix A - Revised EAS No. 13) as of 1 January 2023	24,204,416	-	-
Additions	94,943,271	44,841,551	-
Disposals	375,000	880,107	132,126
Disposals of revalued assets	(1,666,170)	(268,406)	-
As of 31 March 2023	(150,722)	(19,464)	-
	<u>819,495,443</u>	<u>152,813,013</u>	<u>22,648,907</u>
			<u>14,920,812</u>
			<u>1,203,703,812</u>
Accumulated depreciation			
As of 1 January 2023			
Accumulated depreciation for capitalized assets as of 1 January 2023 (First option - Appendix A - Revised EAS No. 13) as of 1 January 2023	(284,581,816)	(61,703,292)	(16,091,290)
Accumulated depreciation for cost adjustments using valuation factor (Third option - Appendix A - Revised EAS No. 13) as of 1 January 2023	(34,556,301)	-	-
Depreciation for the period	(74,947,700)	(34,480,757)	-
Depreciation for capitalized assets (First option - Appendix A - Revised EAS No. 1; Revised EAS No. 15) - note (33)	(10,003,218)	(2,103,638)	(464,127)
Disposals	(536,130)	(678,007)	-
Disposals of revalued assets	(1,111,437)	252,212	-
As of 31 March 2023	150,722	19,464	-
	<u>(400,629,852)</u>	<u>(98,875,108)</u>	<u>(19,363,435)</u>
Net book value as of 31 March 2023	418,865,591	53,937,905	7,613,549
Net book value as of 31 December 2022	438,891,376	55,946,797	6,425,491

3 - PROPERTY, PLANT AND EQUIPMENT – (CONTINUED)

- The cost of fixed assets as of 31 March 2023 includes EGP 87,383,600 which represents fully depreciated assets that are still in use,
- Depreciation expense is allocated as follows:

Disposals of property, plant and equipment represent the sale of some assets as follows:

	31 March 2023	31 March 2023
	EGP	EGP
Cost of sales	19,886,946	
Selling and marketing expenses (note 19)	3,256,205	
General and administrative expenses (note 20)	537,248	
	<u>23,680,399</u>	
Proceeds from sales of property, plant and equipment		
Cost of disposed property, plant and equipment		2,104,822
Accumulated depreciation relating to disposals		<u>(2,088,568)</u>
Net book value of disposed property, plant and equipment		16,254
Gain from sale of property, plant and equipment (note 21)		<u>1,061,499</u>

- Depreciation expense also allocated as follows:

	31 March 2023
	EGP
Depreciation for the period	
Depreciation for the period (First option - Appendix A - Revised EAS No. 13)	21,303,925
Depreciation for the period (Third option - Appendix A - Revised EAS No. 13)	586,130
	<u>1,790,344</u>
	<u>23,680,399</u>

3 - PROPERTY, PLANT AND EQUIPMENT – (CONTINUED)

RIGHT OF USE ASSETS – (CONTINUED)

	Buildings	Machines and equipment	Total
	EGP	EGP	EGP
Cost			
As of 1 January, 2023	43,719,848	13,196,762	56,916,610
Disposals	(2,502,853)	-	(2,502,853)
As of 31 March, 2023	41,216,995	13,196,762	54,413,757
Accumulated Amortization			
As of 1 January, 2023	(17,028,281)	(1,832,887)	(18,861,168)
Amortization for the period	(1,861,128)	(274,933)	(2,136,061)
Disposals	2,502,853	-	2,502,853
Accumulated Amortization as of 31 March 2023	(16,386,556)	(2,107,820)	(18,494,376)
Net Book Value as of 31 March 2023	24,830,439	11,088,942	35,919,381
Net book value as of 31 December 2022	26,691,567	11,363,875	38,055,442

Amortization expense also allocated as follows:

	31 March 2023
	EGP
Cost of sales	1,262,569
Selling and marketing expenses (note 19)	839,373
General and administrative expenses (note 20)	34,119
	2,136,061

4- PROJECTS UNDER CONSTRUCTION

	31 March 2024	31 December 2023
	EGP	EGP
1 January	38,909,533	102,537,315
Additions	33,552,489	5,781,613
Transferred to property, plant, and equipment (note 3)	-	(69,409,395)
	<u>72,462,022</u>	<u>38,909,533</u>

Projects under construction are analysed as follows:

	31 March 2024	31 December 2023
	EGP	EGP
Buildings	3,341,740	3,006,140
Machinery and equipment	62,838,276	30,271,589
Software	6,282,006	5,631,804
	<u>72,462,022</u>	<u>38,909,533</u>

5- INVESTMENT IN ASSOCIATES

Subsidiary name	Country	Percentage of investment	Investment value	
			31 March 2024	31 December 2023
FRIDOM Dairy International for dairy products	Egypt	49,00%	EGP 3,365,395	EGP 3,365,395

- Movement on the balance of investment in associate is as follows:

	31 March 2024	31 December 2023
	EGP	EGP
Balance as of 1 January	3,365,395	4,018,553
Equity in losses of associate during the period / year	-	(653,158)
	<u>3,365,395</u>	<u>3,365,395</u>

- Fridom Dairy International Company for dairy products "FRIDOM Dairy International" is a joint stock company established in accordance with the provisions of Egyptian law on 19 September 2021.
- The Company subjects to the provisions of joint stock companies, partnership limited by shares, limited liability companies, and sole proprietorship companies promulgated by Law No. 159 of 1981.
- The company's authorized capital was set to US\$6,000,000 (six million) US dollars, and the company's issued capital was set at US\$600,000 (six hundred thousand) US dollars, distributed over 1,000,000 (million) shares, the value of each share is US\$0.6, The Arabian Food Industries Company "Domty" contributes to the capital of Fridom Dairy International Company for dairy products by 49%, which represents an amount of \$294,000 (two hundred and ninety-four thousand) dollars.

- Purpose of Fridom Dairy International, Inc.
 - Export.
 - General trade in what is permitted by law and distribution of food and dairy products.
- The board of directors decided on 14 February 2024 to liquidate FRIDOM Dairy International Company for dairy products (associate) for inactivity is currently undergoing the legal liquidation procedures.

6- INVENTORIES

	31 March 2024	31 December 2023
	EGP	EGP
Raw materials	701,529,589	520,208,509
Spare parts	97,627,142	90,767,536
Work in process	6,478,592	175,541
Finished goods*	282,936,358	222,844,789
Goods in transit	52,755,129	62,926,440
	1,141,326,810	896,922,815
Write down of inventory	(1,941,200)	(1,941,200)
	1,139,385,610	894,981,615

* Finished inventory includes an amount of LE 5,196,096 which represents the Cost of Sales that is expected to be returned, in accordance with Egyptian Accounting Standard No. (48) - Revenue from contracts with customers.

7- ACCOUNTS AND NOTES RECEIVABLE

	31 March 2024	31 December 2023
	EGP	EGP
Accounts receivable – Local market	1,040,537,156	821,744,764
Accounts receivable – Export	190,026,991	114,217,081
Notes receivable	114,931,315	99,731,254
	1,345,495,462	1,035,693,099
Impairment of accounts and notes receivable	(121,196,622)	(97,508,861)
	1,224,298,840	938,184,238

The movement of provision for impairment of accounts and notes receivables represented as follows:

	31 March 2024	31 December 2023
	EGP	EGP
Balance as of 1 January	97,508,861	80,858,306
Charged during the period / year	23,687,761	16,650,555
Balance	121,196,622	97,508,861

8- PREPAYMENTS AND OTHER DEBIT BALANCES

	31 March 2024	31 December 2023
	EGP	EGP
Prepaid expenses	14,270,002	12,607,857
Deposits with others	10,749,927	9,726,528
Employees' advances	17,676,094	5,020,397
Advances to suppliers to purchase property, plant, and equipment	98,119,168	36,941,004
Amount due from tax authority	69,247,091	42,480,493
Advances to suppliers	139,548,146	141,209,929
Letters of credit	-	332,546
Other debit balances	170,419,838	191,465,174
	520,030,266	439,783,928
Impairment of prepayments and other receivables	(15,825,134)	(15,825,134)
	504,205,132	423,958,794

The movement of impairment of prepayments and other debit balances represented as follows:

	31 March 2024	31 December 2023
	EGP	EGP
Balance as of 1 January	15,825,134	14,261,742
Formed during the period / year	-	1,563,392
Balance	15,825,134	15,825,134

9- FINANCIAL INVESTMENTS AT AMORTIZED COST (TREASURY BILLS)

	31 March 2024	31 December 2023
	EGP	EGP
Nominal value of treasury bills	383,200,000	-
Deferred Interest from Treasury bills	(3,898,129)	-
Withholding tax on the interest (Profit or loss statement)	(3,852,496)	-
	375,449,375	-
Impairment of Treasury bills	(181,284)	-
Treasury bills balance	375,268,091	-

The movement of impairment of treasury bills represented as follows:

	31 March 2024	31 December 2023
	EGP	EGP
Balance as of 1 January	-	2,005,886
Formed during the period / year	181,284	-
No longer required	-	(2,005,886)
Balance	181,284	-

10- CASH ON HAND AND AT BANKS

	31 March 2024	31 December 2023
	EGP	EGP
a) Local Currency		
Cash on hand	19,515,890	43,382,384
Checks under collection	47,107,585	46,881,864
Current accounts	142,977,452	91,088,402
Deposit	-	312,000,000
	<u>209,600,927</u>	<u>493,352,650</u>
b) Foreign currency		
Cash on hand	31,718,640	15,372,024
Current accounts	37,935,550	13,792,865
	<u>69,654,190</u>	<u>29,164,889</u>
	<u>279,255,117</u>	<u>522,517,539</u>

11- PROVISIONS OF EXPECTED CLAIMS

	31 March 2024	31 December 2023
	EGP	EGP
Balance as of 1 January	57,858,370	22,193,416
Charge for the period / year	10,811,579	42,528,993
Provisions for Claims no longer required	-	(3,963,506)
Used during the period / year	(6,366,742)	(2,900,533)
	<u>62,303,207</u>	<u>57,858,370</u>

The balance as of 31 March 2024 is expected to be utilized in upcoming periods, In the opinion of the Company's management after taking appropriate technical advice, the outcome of these claims will not give rise to any significant loss beyond the amounts provided at period end.

The information usually required by accounting standards is not disclosed because the management believes that to do so would seriously prejudice the outcome of the negotiation with those parties, these provisions are reviewed by management on an annual basis and they are adjusted based on latest developments, discussions and agreements with those parties.

12- SHORT TERM CREDIT FACILITIES

	31 March 2024	31 December 2023
	EGP	EGP
a) Egyptian pounds	<u>1,890,844,554</u>	<u>1,363,122,686</u>
	<u>1,890,844,554</u>	<u>1,363,122,686</u>

The balance of credit facilities on March 31, 2024, represents the value of the user of the credit facilities granted by banks, amounting to a total of 2,885 billion Egyptian pounds, for the purpose of opening documentary credits and for the purpose of financing the company's current activity, with an average interest rate of 23.35% for Egyptian pounds.

13- TRADE AND NOTES PAYABLES

	31 March 2024	31 December 2023
	EGP	EGP
Trade payables	273,462,523	293,621,165
Notes payable	605,039	247,030
	274,067,562	293,868,195

14- ACCRUED EXPENSES AND OTHER CREDIT BALANCES

	31 March 2024	31 December 2023
	EGP	EGP
Accrued expenses	174,440,469	127,571,521
Deposits from others	1,631,786	1,527,218
Advances from customers	36,713,754	23,915,955
Due to Social Insurance Authority	-	4,745,892
Tax authority	18,312,171	17,251,562
Liability against expected sales return – EAS 48	6,802,064	8,701,896
Other credit balances	4,159,160	4,142,200
	242,059,404	187,856,244

15- LOANS

	31 March 2024	31 December 2023
	EGP	EGP
Non-current portion	104,689,329	117,969,038
Current portion	73,000,051	65,183,311
	177,689,380	183,152,349

	CIB (1)	EALB	CIB (2)	QNB	Total
	EGP	USD	EGP	EGP	EGP
Balance as of 1 January 2024	56,585,226	23,247,126	36,329,481	66,990,516	183,152,349
Payments during the period	(4,966,371)	(3,294,624)	(2,137,028)	(5,582,543)	(15,980,566)
Forex losses on loans balances	-	10,517,597	-	-	10,517,597
Balance as of 31 March 2024	51,618,855	30,470,099	34,192,453	61,407,973	177,689,380
	CIB	EALB	CIB (2)	QNB	Total
	EGP	USD	EGP	EGP	EGP
Balance as of 1 January 2023	74,562,708	29,166,381	31,247,019	24,152,252	159,128,360
Proceeds during the period	-	-	11,493,547	42,838,264	54,331,811
Payments during the period	(17,977,482)	(10,552,161)	(6,411,085)	-	(34,940,728)
Forex losses on loans balances	-	4,632,906	-	-	4,632,906
Balance as of 31 December 2023	56,585,226	23,247,126	36,329,481	66,990,516	183,152,349

- **Loan from Commercial International Bank (1)**

On 15/7/2019 the company signed a medium-term loan contract with The Commercial International Bank (CIB-Egypt), whereby the bank allows Domty to obtain a loan of up to 100 million Egyptian pounds, amounting to EGP 100 million from CIB Bank.

The purpose of the loan:

The loan proceeds will be used to finance the company's future expansion & capital expenditure for the financial year 2019 for the company's new products represented in bakery and beyond with maximum of EGP 100,000,000.

- Issuing letters of credit with maximum period of 365 days including the period of acceptance of documents trading, and that is the import of the needs of the new bakery line and beyond, with maximum amount of EGP 33 million equivalents to USD 1,737,000.

- The company is committed to repay the loan amount on 20 quarterly installments starting after 18 months from the date of initial withdrawal.

- **Interest rate:** a variable rate of the average corridor price announced by the Central Bank of Egypt, in addition to the margin.

- **Guarantees:** An insurance policy issued by an Egyptian insurance company acceptable to the bank and in its favor as a sole beneficiary against the installation risks of machines and equipment financed by the bank, provided that the installation period is covered by 115% of the total financing amount, including the replacement value, And that the policy should include coverage of the risk of riots and civil and labor disturbances at a rate of no less than 25% of the total amount of the policy.

- **Loan from Commercial International Bank (2)**

Represented in the value of medium-term financing granted to the company by the Commercial International Bank on 18 November 2021 (according to the initiative of the Central Bank of Egypt in December 2019) in an amount not exceeding 54,000,000 EGP (only fifty-four million Egyptian pounds).

Purpose of the granted funding:

- Financing the investment cost of the company related to the local purchase and/or importing part of the fourth production line for the bakery industry, the croissant production line, machinery and equipment, and both the additional costs and the installation cost for them, in accordance with the terms and conditions stipulated in the loan contract.

- The company is committed to repay the financing amount in 20 quarterly installments as soon as the grace period, which is specified for a maximum of twelve months, expires from the date of the first withdrawal of the financing amount or the withdrawal of the total financing amount.

- **The interest rate:** an 8% interest rate applies to the first tranche in accordance with the initiative of the Central Bank of Egypt, and the corridor interest rate for lending announced by the Central Bank of Egypt applies to the second tranche, in addition to the margin.

- **Guarantees:** an insurance policy issued by an Egyptian insurance company acceptable to the bank and in its favor as a single beneficiary, at a rate of 115% of the total amount of financing, including the replacement value, provided that the document includes coverage of the risk of riots and civil and labor disturbances at a rate of no less than 25% of the total amount of the policy.

• **Loan from EALB**

Represents a credit facility in the form of a long-term loan granted to the company by the Egyptian Arab Land Bank with a total amount of USD 2,100,000 (only two million and one hundred thousand US dollars only).

The purpose of the granted financing is to finance the import of the bakery production line,

- **Loan term:** 6 years, including the grace and withdrawal period, with a maximum of 12 months, to be paid in 20 equal quarterly installments.

- **Interest rate:** 3.25% above the 3-month LIBOR price, with a review of the LIBOR at the end of each fiscal quarter.

- **Guarantees:** Signing (4) promissory notes, each with a value of 525 thousand US dollars, for use in foreign currency, The company is also committed to allocating part of an insurance policy in favor of the bank, amounting to 110% of the total long-term financing against all risks.

• **Loan from QNB**

It is represented in a loan contract concluded with Qatar National Bank Al Ahli on 26 October 2021 (according to the initiative of the Central Bank of Egypt in December 2019) amounting to 66,000,000 Egyptian pounds (only sixty-six million Egyptian pounds).

The purpose of the granted loan is dedicated to finance production lines with the aim of increasing the production capacity of the industrial activity.

- **Loan period:** 5 years starting from the date of signing the loan contract and ending on 26 October 2026, This period includes the grace period and the withdrawal period, which is scheduled for one year from the date of the first withdrawal, all provided that the withdrawal conditions established under the loan contract are fulfilled, as well as providing the bank with the documents it deems to allow the withdrawal of loan.

Repayment period: The company is obligated to repay the loan in 16 quarterly installments of equal value from the value of the balance used at the end of the withdrawal period in addition to the applicable return in accordance with the terms and conditions of the loan contract.

- **Interest rate:** 8% according to the initiative of the Central Bank of Egypt.

- **Guarantees:** an insurance policy in favor of the bank covering 110% of the loan value on the assets financed by the bank against all risks.

16-CAPITAL

The company's authorized capital of 31 March 2024 EGP 282,608,695 (31 December 2023, the Company's authorized capital amounts EGP 282,608,695).

In 2012, the issued and paid-up capital was EGP 30,000,000 divided over 1,200,000 shares of par value EGP 25 each.

On 30 September 2013 the Extraordinary General Assembly approved the raise of the issued and paid-up capital by EGP 20,000,000 divided over 800,000 shares at the par value of EGP 25 to reach EGP 50,000,000 through share dividends of 2 shares for every 3 outstanding shares. The issued and paid-up capital becomes 50,000,000 Egyptian pounds, distributed over 2,000,000 shares, with a nominal value of 25 Egyptian pounds.

On 21 October 2015 the Extraordinary General Assembly decided the fragmentation of the nominal value of each share from EGP 25 to EGP 0.2 and was approved in the commercial register on 15 December 2015.

On 7 April 2016 the Board of Directors decided (authorized by the extraordinary General Assembly in the 15 January 2016) to increase the paid-up capital by EGP 6,521,739 distributed over 32,608,695 shares with a nominal value of 20 piaster per share then the initial public offering held on the final fair value for the share amounted to EGP 9.20 per share were the difference of EGP 9 were share premium.

According to article 94 of the Companies Law No. 159 of 1981 of the Implementing Regulations, an amount of EGP 9,366,743 were added from the share premium to the legal reserve. Thus, the legal reserve is half the issued capital, and a special reserve were charged with the remaining amount of the premium of EGP 283,422,423 after deducting the issuance expenses of EGP 689,089 and the capital increase was approved in the commercial register on 17 May 2016. Accordingly, the issued and paid-up capital as of 31 March 2024 amounted to EGP 56,521,739 divided over 28,26,08,695 shares (31 December 2023: EGP 56,521,739).

The Extraordinary General Assembly decided on March 31, 2021, to reduce the authorized capital from 500,000,000 Egyptian pounds to 282,608,695 Egyptian pounds in accordance with the provisions of Article No. 10 of the rules of listing in the Egyptian Stock Exchange that the authorized capital should not exceed five times the issued capital.

17-RETAINED EARNINGS

The balance of the Consolidated Retained Earnings on March 31, 2024, is as follows:

First: the profits for the period amounting to EGP 153,302,796 which will be presented to the general assembly, which will consider approving the results of the year ending 31 December 2024.

Second: Retained Earnings from previous years with the amount of EGP 915,696,926.

Third: The consolidated retained earnings include an amount of EGP 4,475,120 as of 31 March 2024 (31 December 2023: EGP 4,347,931 not available for distribution being the legal reserve of the subsidiary.

18-INCOME TAXES

	From 1 January 2024 To 31 March 2024 EGP	From 1 January 2023 To 31 March 2023 EGP
Current income taxes	50,865,275	53,492,675
Deferred tax expense	(3,515,072)	(8,189,029)
	47,350,203	45,303,646

RECONCILIATION OF THE EFFECTIVE INCOME TAX RATE

	31 March 2024 EGP	31 March 2023 EGP
Profit before income taxes excluding treasury bills interest	181,390,520	178,057,304
<u>Add: Non-deductible expenses</u>		
Accounting depreciation	25,294,623	23,680,399
Provisions formed during the period	34,680,624	18,208,417
Donations	1,043,928	904,127
Board of directors' allowances	200,000	225,000
Unrealized forex losses	-	219,774
Realized forex differences previously deducted on prior year	17,878,399	17,761,543
Application of Egyptian Accounting Standard (48)	1,498,274	1,184,438
Excess of 7% of documented general and administrative expenses	4,554,531	1,194,486
Medical contribution 0.25%	6,091,471	4,489,921
The cost of financing and investing the returns of treasury bills	654,924	632,493
<u>Less: Deductible expenses</u>		
Tax depreciation	(16,781,686)	(14,467,489)
Capital gains	-	(1,061,499)
Provisions used	(1,763,760)	(1,653,063)
Provisions no longer required	-	(593,768)
Donations	(182,950)	(152,200)
Application of Egyptian Accounting Standard (48)	(1,899,832)	(1,501,098)
Unrealized forex differences previously deducted on prior year	(215,499)	(577,112)
Unrealized forex losses	(43,497,881)	(5,342,225)
Tax base	208,945,684	221,209,448
Income Tax	25.92% 47,012,779	25.96% 49,772,126
Returns on treasury bills before income taxes	19,262,479	18,602,743
Tax due on treasury bills returns	20% 3,852,496	20% 3,720,549
Income taxes at the effective tax rate	25.35% 50,865,275	25.43% 53,492,675

INCOME TAXES (CONTINUED)

Components of deferred tax liability are as follows:

	31 March 2024	31 December 2023
	EGP	EGP
Deferred tax for Depreciation of Property, plant and equipment	65,066,399	66,849,930
Deferred tax for Forex difference	9,787,024	3,974,153
Deferred tax for Impairment of accounts receivables	(24,950,185)	(19,620,439)
Deferred tax for impairment of other debit balances	(3,419,750)	(3,419,750)
Deferred tax for impairment of treasury bill	(40,789)	-
Provisions	(16,085,594)	(13,652,989)
Previously taxed allowances	891,789	891,789
Deferred tax for Provisions used	768,785	371,939
Deferred tax liability against right of use liability- EAS 49	1,746,394	1,884,512
Deferred tax assets resulted from carry forward taxable losses	(5,118,478)	(5,118,478)
Amortization of deferred tax assets resulted from carry forward taxable losses	268,055	-
	28,913,650	32,160,667

19- SELLING AND MARKETING EXPENSES

	From 1 January 2024 To 31 March 2024	From 1 January 2023 To 31 March 2023
	EGP	EGP
Marketing activities	31,031,461	7,762,428
Advertising activities	21,194,457	12,619,550
Salaries and wages	79,901,909	63,793,351
Warehousing	5,870,557	3,061,773
Rent, transportation and vehicles license	18,605,484	13,830,531
Spare parts and maintenance	18,006,972	12,315,661
Depreciation (Note 3)	3,792,465	3,256,205
Amortization – Right of Use (Note 3)	959,208	839,373
Insurance	1,749,635	1,151,174
Impairment of account receivables (Note 7)	23,687,761	15,072,325
Freight	16,360,140	12,458,290
Aging and emptying expense	1,943,700	1,794,363
Stationary	662,535	1,552,360
Medical Care	511,667	528,895
Others	18,328,119	10,869,020
	242,606,070	160,905,299

20- GENERAL AND ADMINISTRATIVE EXPENSES

	From 1 January 2024 To 31 March 2024	From 1 January 2023 To 31 March 2023
	EGP	EGP
Salaries and wages	15,073,511	12,559,090
Board allowances	200,000	225,000
Depreciation (Note 3)	1,086,789	537,248
Amortization – Right of Use (Note 3)	-	34,119
Rent, transportation, travel and vehicles license	90,092	69,170
Stationary	231,306	157,023
Medical Care	111,819	113,388
Donations	182,950	152,200
Impairment of other debit balances (Note 8)	-	563,392
Others	4,346,208	3,686,483
	21,322,675	18,097,113

21- NET OTHER OPERATING INCOME

	From 1 January 2024 To 31 March 2024	From 1 January 2023 To 31 March 2023
	EGP	EGP
Export support subsidy	7,709,052	4,284,756
Scrap sales	9,416,974	8,231,223
from sale of Property, plant and equipment (note 3)		1,061,499
	17,126,026	13,577,478

22- FINANCE INCOME

	From 1 January 2024 To 31 March 2024	From 1 January 2023 To 31 March 2023
	EGP	EGP
Interest of treasury bills	19,262,479	18,602,743
Interest of deposit	1,515,479	4,579,171
	20,777,958	23,181,914

23- FINANCE EXPENSES

	From 1 January 2024 To 31 March 2024	From 1 January 2023 To 31 March 2023
	EGP	EGP
Interest on loans and credit facilities	92,654,657	55,205,063
Interest Expense – lease liability	1,413,471	1,042,030
(Gain) loss from foreign exchange differences	(43,669,294)	4,541,817
	50,398,834	60,788,910

24-CONTINGENT LIABILITIES

As of 31 March 2024, the Group had contingent liabilities in respect of banks' letter of guarantees issued by the banks amounting to LE 11,819,000 (31 December 2023: LE 11,804,000). And it is anticipated that no actual liability will arise as a result of these letters.

25- BUSINESS COMBINATION RESERVE

Business combination reserve represents the difference between the nominal value of the shares of the subsidiary acquired in the Common Control Transaction and the cash paid as consideration for such acquisition. Until the date of the Common Control Transaction, the Business combination reserve represents the nominal value of the shares of the subsidiary owned by the controlling shareholders of the Parent. Cash consideration paid by the Company to the controlling shareholders for the purchase of the subsidiary shares on 30 April 2014 has been reflected as a distribution.

26-EARNING PER SHARE

Basic and diluted earnings per share are calculated by dividing the profit for the period attributable to the equity holders of the Parent by the weighted average number of shares outstanding during the period.

	31 March 2024	31 March 2023
	EGP	EGP
Net profit for the period	153,302,796	151,356,431
Employees and Board of directors' dividends*	(28,844,923)	(28,475,113)
Net profit available for distribution after employees and board of directors share of profit	124,457,873	122,881,318
Number of shares outstanding	282,608,695	282,608,695
Basic and diluted earnings per share	0,440	0,435

* According to the Egyptian law, employees and Board of Directors members are entitled to a percentage of the company's profit as a profit sharing when dividends are declared.

27-CAPITAL COMMITMENTS

Capital commitments

The balance of the company's contracted capital commitments as of 31 March 2024 amounted to EGP 8,237,468 (31 December 2023: EGP 39,088,931) as follows:

31 March 2024	Contract amount	Paid amount	Un-paid amount
	EGP	EGP	EGP
Machines and Equipment	17,556,968	(13,560,200)	3,996,768
Buildings	19,753,613	(15,512,913)	4,240,700
	37,310,581	(29,073,113)	8,237,468
31 December 2023	Contract amount	Paid amount	Un-paid amount
	EGP	EGP	EGP
Machines and Equipment	51,563,708	(17,435,783)	34,127,925
Buildings	21,723,068	(16,762,062)	4,961,006
	73,286,776	(34,197,845)	39,088,931

28-LEASE LIABILITY

Applying Egyptian Accounting Standard No, 49, the lease obligations on 31 March 2024 amounted of 48,509,417 Egyptian pounds, shown as the following:

	31 March 2024	31 December 2023
	EGP	EGP
Balance as of 1 January 2024	33,732,544	43,772,145
Additions during the period / year	14,369,305	-
Losses from forex rate	1,413,471	3,727,374
Accretion Interest	3,873,680	1,811,069
Instalments paid through the period / year	(4,879,583)	(15,578,044)
Balance	<u>48,509,417</u>	<u>33,732,544</u>
Less than one period	17,780,706	11,865,775
More than one year and not later than five years	<u>30,728,711</u>	<u>21,866,769</u>
	<u>48,509,417</u>	<u>33,732,544</u>

29-SEGMENT REPORTING

In 2012, the company was operating in one segment, From September 2013, the Company started the production of juice and from September 2018, the Company started the production of Bakery products therefore the Company started to operate into three segments as follows:

- Dairy products
- Juice Products
- Bakery Products

The Executive Management Committee monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment, Segment performance is evaluated based on gross profits and is measured consistently with profit or loss in the consolidated financial statements, However the Group's financing (including finance costs and finance income) and income taxes are managed on a Group basis and are not allocated to operating segments,

The amount of each segment item reported shall be the measure reported to the chief operating decision maker for the purposes of making decisions about allocating resources to the segment and assessing its performance,

Primary segments results – related products for the period ended 31 March 2024 are as follows:

	Dairy products	Juice products	Bakery products	Total
	EGP	EGP	EGP	EGP
Segment sales	1,790,040,793	197,903,730	351,563,859	2,339,508,382
Sales Discounts - Egyptian Accounting				(59,239,267)
Standard (48)	(56,153,625)	(1,162,444)	(1,923,198)	
Sales returns provision	(6,124,905)	(677,159)		(6,802,064)
Sales returns provision no longer required	8,026,747	675,149	-	8,701,896
Segment cost of sales	(1,370,657,037)	(154,934,695)	(260,918,013)	(1,786,509,745)
Cost of sales returns provision	4,663,325	532,770		5,196,095
Cost of sales returns provision no longer required	(6,132,745)	(561,624)	-	(6,694,369)
Gross Profit	<u>363,662,553</u>	<u>41,775,727</u>	<u>88,722,648</u>	<u>494,160,928</u>
Operating expenses net of other operating income				(257,795,582)
Finance income				20,777,958
Finance expenses				(50,398,834)
Medical insurance Contribution				(6,091,471)
Income tax expenses				(47,350,203)
Net profit for the period				<u>153,302,796</u>

	Dairy products	Juice products	Bakery products	Unallocated	Total
	EGP	EGP	EGP	EGP	EGP
Depreciation for the period	(5,413,323)	(3,280,236)	(8,746,715)	(5,957,062)	(23,397,336)
Depreciation for the period (First option)	(371,504)	(214,626)	-	-	(586,130)
Depreciation for the period (Third option)	(238,845)	(393,405)	-	(678,907)	(1,311,157)
Amortization – Right of use	(137,466)	(137,466)	-	(1,946,845)	(2,221,777)
	<u>(6,161,138)</u>	<u>(4,025,733)</u>	<u>(8,746,715)</u>	<u>(8,582,814)</u>	<u>(27,516,400)</u>

Primary segments results – related products for period ended 31 March 2023 are as follows:

	Dairy products	Juice products	Bakery products	Total
	EGP	EGP	EGP	EGP
Segment sales	1,399,659,945	110,177,057	236,024,602	1,745,861,604
Sales Discounts - Egyptian Accounting Standard (48)	(45,776,691)	(1,293,869)	(1,444,548)	(48,515,108)
Sales returns provision	(2,521,730)	(329,119)	-	(2,850,849)
Sales returns no longer required	3,913,289	438,658	-	4,351,947
Segment cost of sales	(1,027,013,970)	(84,110,494)	(180,345,362)	(1,291,469,826)
Cost of sales returns provision	1,828,657	279,546	-	2,108,203
Cost of sales returns no longer required	(2,922,675)	(369,966)	-	(3,292,641)
Gross Profit	<u>327,166,825</u>	<u>24,791,813</u>	<u>54,234,692</u>	<u>406,193,330</u>
Operating expenses net of other operating income				(167,436,366)
Finance income				23,181,914
Finance expenses				(60,788,910)
Medical Insurance Contribution				(4,489,921)
Income tax expenses				(45,303,646)
Net profit for the period				<u>151,356,401</u>

	Dairy products	Juice product	Bakery products	Unallocated	Total
	EGP	EGP	EGP	EGP	EGP
Depreciation expenses	(5,558,007)	(4,371,396)	(6,733,815)	(4,640,707)	(21,303,925)
Depreciation for the period (First option)	(371,504)	(214,626)	-	-	(586,130)
Depreciation for the period (Third option)	(401,948)	(709,489)	-	(678,907)	(1,790,344)
Amortization – Right of use	(137,466)	(137,467)	-	(1,861,128)	(2,136,061)
	<u>(6,468,925)</u>	<u>(5,432,978)</u>	<u>(6,733,815)</u>	<u>(7,180,742)</u>	<u>(25,816,460)</u>

Segments Assets

31 March 2024	Dairy products	Juice products	Bakery products	Unallocated	Total
	EGP	EGP	EGP	EGP	EGP
Total assets	102,753,824	90,600,192	271,158,587	3,849,898,826	4,314,411,429
Capitalized assets (First option)	4,785,746	1,931,630			6,717,376
Valuation assets (Third option)	975,668	4,394,052		6,926,247	12,295,967
Right of use assets	4,994,606	4,994,607		31,902,202	41,891,415
Total assets	<u>113,509,844</u>	<u>101,920,481</u>	<u>271,158,587</u>	<u>3,888,727,275</u>	<u>4,375,316,187</u>

Segments Assets

31 December 2023	Dairy products	Juice products	Bakery products	Unallocated	Total
	EGP	EGP	EGP	EGP	EGP
Total assets	105,403,345	93,880,428	278,206,702	3,070,647,969	3,548,138,444
Capitalized assets (First option)	5,157,251	2,146,256	-	-	7,303,507
Valuation assets (Third option)	1,214,513	4,787,457	-	7,605,154	13,607,124
Right of use assets	5,132,073	5,132,072	-	19,479,742	29,743,887
Total assets	116,907,182	105,946,213	278,206,702	3,097,732,865	3,598,792,962

Secondary Segment results – geographical sales by areas for the period ended 31 March 2024 are as follows:

Geographical areas

	31 March 2024	31 March 2023
	EGP	EGP
<u>Local</u>		
Cairo	1,242,412,888	861,490,526
Alexandria	222,730,441	181,605,667
Delta	302,077,053	244,278,915
Upper Egypt	404,362,346	313,505,010
	2,171,582,728	1,600,880,118
<u>Export</u>	167,925,654	144,981,486
	2,339,508,382	1,745,861,604
Sales returns provision	1,899,832	1,501,098
Sales discount	(59,239,267)	(48,515,108)
	2,282,168,947	1,698,847,594

30-TAX SITUATION

30-1 Arabian food industries company (DOMTY)

a) Corporate taxes

The Company was exempted from corporate taxes for ten years started from the commencement of operation till 31 December 2000.

The company submitted the tax declarations from inception until 2019 and they were inspected by the Tax Authorities and are currently being settled.

The company submitted the tax declaration for the year 2020 till 2021 to large taxpayer's center and the large taxpayers center has notified the company of a (form 19 – estimated), The company appealed the form on the legal date, and they prepared the documents for defenses to support the company's point of view.

The Company submit the income tax return for year 2022 and 2023 on legal date.

b) Sales taxes / Value added tax

The Company's records were inspected and all taxes due were paid for the years from the commencement of operation till 31/12/2020.

The company submitted the sales tax returns on monthly basis and at the legal dates for the period from 1 January 2020 until March 2024, and no notification was received from the tax authority examining those years.

c) Salary taxes

From commencement of operation till 31 December 2022, the Company's records were inspected and all taxes due were paid.

Year 2023

Applying of the Unified Tax Procedures Law No, 206 of 2020 by Law 211 of 2020, the company has prepared and submitted the 2023 adjustment to the tax system on the legal date.

For the period from 1 January 2024 till 31 March 2024, the company withheld and paid the taxes due on monthly basis at the legal dates according to relevant tax law, the company paid monthly at the legal date.

d) Stamp duty taxes

For all years till 31 December 2015, stamp duty taxes have been inspected by the Tax Authority and paid by the Company.

Period from (1/1/2016 to 26/1/2022)

The company calculates the tax on advertisements and submit them regularly, and the calculated tax has been paid, in light of the provisions of Law No, 3 of 2022, issued on 26 January 2022 and published in the Official Gazette at number 33.

Period from (27/1/2022 to 31/3/2024)

The company calculates the tax on gas consumption and the other bases in addition to the development fee, and the company pays the tax regularly based on the subject form.

e) Withholding tax

From commencement of operation till 31 December 2015, the Company's records were inspected and all taxes due were paid.

The Company withholds tax on its transactions in accordance with tax law.

f) Property tax

A decision was issued by the appeals committee regarding the real estate tax, the company was notified and objected it against the administrative court, the company settled the tax due regarding the decision of the appeals committee to avoid delay penalties, as well as the payment of the tax for the period until December 2021.

On August 30, 2022, Prime Minister Resolution No, 61 of 2022 was issued, which decided in its first article that the Ministry of Finance bears the full value of the "tax on constructed real estate" due on the constructed real estate used in the exercise of a number of activities, including the activity of food industries, starting from 1 January 2022 for a period of three years.

30-2 El Tatweer for Food Industries Company

a) Corporate taxes

From commencement of operation till 2019

The company submitted tax returns on the legal time, and all tax disputes were examined and settled.

Years from 2020-2023

The company submitted the tax return on the legal date, and there was no notification from the Investment Authority for major financiers (2) up to date of examination.

b) Sales taxes / Value added tax

The Company submitted the tax return for the period from commencement until March 2024 dates and no notification has been received from the Tax Authority for inspection to date.

c) Stamp Taxes

The years from the beginning of the activity until 31 December 2015, the period from 8 March 2009 to 31 December 2015 was assessed and the company appealed to the result of the examination.

For the period from 1 January 2016 to 31 March 2024, no notification was received from tax authority regarding that period.

d) Salary taxes

Years from commencement of operation till December 2019

The company submitted tax settlements for examination, and all tax disputes were settled.

Year 2023

Applying of the Unified Tax Procedures Law No. 206 of 2020 by Law 211 of 2020, the company has prepared and submitted for the 2020 until 2023 adjustment to the tax system on the legal date,

Period from 1/1/2024 to 31/3/2024)

the company calculates the tax due on employees and workers, The company also makes payments under the wages and salaries tax account, The company has made a payment under the tax account calculated,

e) Withholding tax

The Company withholds tax on its transactions in accordance with the tax law.

31- FINANCIAL INSTRUMENTS AND RISK MANAGEMENT

a) Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates, The Company is exposed to interest rate risk on its interest-bearing liabilities, banks credit facilities and long term loans.

31 March 2024				
	Change in	Effect on profit	Change in	Effect on profit
	interest rate	before Tax	interest rate	before Tax
		EGP		EGP
Liabilities	+1%	(4,027,921)	+1%	(4,208,511)
	-1%	4,027,921	-1%	4,208,511

b) Foreign Currency Risk

The foreign currency risk is the risk that the value of the financial assets and liabilities and the related cash inflows and outflows in foreign currencies will fluctuate due to changes in foreign currency exchange rates. The total financial assets denominated in foreign currencies amount to EGP 353,241,722 (31 December 2023: EGP 202,783,786) whereas the total financial liabilities denominated in foreign currencies amounts to EGP 124,795,944 (31 December 2023: EGP 68,131,214).

- The following table shows the extent to which an acceptable potential change in the exchange rate of the United States dollar will affect all other variables. The impact on the company's pre-taxable profits is due to changes in the value of assets and cash liabilities. It should be noted that changes in the exchange rates of all other foreign currencies are not material.

The following table shows the impact of an acceptable potential change in foreign exchange rates:

	31 March 2024		31 March 2023	
	Change in exchange rate	Impact on profits before tax	Change in exchange rate	Impact on profits before tax
USD	10% +	22 ,046 ,142	10% +	8 ,740 ,144
	10% -	(22 ,046 ,142)	10% -	(8 ,740 ,144)
EUR	10% +	755 ,354	10% +	89 ,554
	10% -	(755 ,354)	10% -	(89 ,554)
GBP	10% +	28 ,657	10% +	18 ,295
	10% -	(28 ,657)	10% -	(18 ,295)
AED	10% +	13 ,255	10% +	8 ,675
	10% -	(13 ,255)	10% -	(8 ,675)
SAR	10% +	1 ,156	10% +	-
	10% -	(1 ,156)	10% -	-

c) Credit Risk

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss.

The Company seeks to limit its credit risk with respect to banks by applying many control procedures include credit limits and only dealing with reputable banks,

The Company seeks to limit its credit risk with respect to customers by

- Setting credit limits for all customers according to an internal evaluation policy,
- Assessing the customer's credit status in accordance with tight credit limits,
- Follow up on current customer balances,

The company avoids credit risks by applying many supervisory measures, and the company's dealings are limited to highly credit-efficient financial institutions,

d) Liquidity risk

The Company's objective is to maintain a balance between continuity of funding and flexibility through the use of loans and finance lease, The company uses credit limits and watches the loans due dates,

Financial Liabilities	Less than 3 months	From 3 to 12 months	From 1 to 5 years	More than 5 years	Total
31 March 2024					
Loans	17,921,767	55,078,284	104,689,329	-	177,689,380
Suppliers, accrued expenses and other payables	515,521,927	-	-	-	515,521,927
Lease	4,267,193	13,513,513	30,728,711	-	48,509,417
Short Term Credit Facilities	1,890,844,554	-	-	-	1,890,844,554
Income Tax payable	145,714,195	50,865,275	-	-	196,579,470
Notes Payable	472,443	132,596	-	-	605,039
Total financial liabilities	2,574,742,079	119,589,668	135,418,040		2,829,749,787

Financial Liabilities	Less than 3 months	From 3 to 12 months	From 1 to 5 years	More than 5 years	Total
31 December 2023					
Loans	15,990,565	49,202,746	117,969,038	-	183,152,349
Suppliers, accrued expenses and other payables	481,477,409	-	-	-	481,477,409
Lease	3,914,727	10,518,996	25,465,091	-	39,898,814
Sales tax payable on plant and equipment	1,363,122,686	-	-	-	1,363,122,686
Income Tax payable	145,982,250	-	-	-	145,982,250
Notes Payable	247,030	-	12,910	-	259,940
Total financial liabilities	2,010,724,667	59,721,742	143,447,039	-	2,213,893,448

e) Capital risk management

The company manages its capital to ensure that it will continue in sufficient level while maximising the return to the shareholders through the optimisation of debt-to-equity balance, The company's overall strategy remains unchanged,

32-FINANCIAL INSTRUMENTS

The Company's financial instruments are represented in financial assets and financial liabilities, The financial assets include cash on hands and banks, treasury bills, trade and notes receivables, due from related parties, and other receivables, The financial liabilities include trade and notes payables, term loans, short term credit facilities, machinery instalments, long term notes payable and other payables.

The significant accounting policies applied for the recognition and measurement of the above - mentioned financial assets and liabilities and the related income and expenses are included in note (2) of the notes to the financial statements.

The fair values of financial assets and liabilities do not differ materially from their carrying values, unless otherwise stated.

33-PROPERTY, PLANT AND EQUIPMENT ADJUSTMENTS SURPLUS

	31 March 2024	31 December 2023
	EGP	EGP
Balance As of 1 January	18,305,818	25,045,008
Deduct:		
Transferred to retained earnings from machinery adjustments surplus (Depreciation)	(632,250)	(3,993,550)
Transferred to retained earnings from vehicles adjustments surplus (Depreciation)	(678,907)	(2,715,626)
Transferred to retained earnings from vehicles adjustments surplus (Disposal)	-	(30,014)
	16,994,661	18,305,818

34-SIGNIFICANT AND SUBSEQUENT EVENTS

Significant Events

On February 1, 2024, the Central Bank of Egypt decided to increase the overnight deposit and lending rates and the price of the main operation of the central bank by 200 basis points, to reach 21.25%, 22.25%, and 21.75%, respectively, the credit and discount rates were also raised by 200 basis points, to reach 21.75%.

On March 6, 2024, the Monetary Policy Committee of the Central Bank of Egypt decided to raise the rate of deposit and lending yield per night and the price of the Central Bank's main operation by 600 basis points to 27.25%, 28.25% and 27.75% respectively, the credit and discount rates were also raised by 600 basis points, to reach 27.75%.

The Central Bank of Egypt also decided to allow the exchange rate to be determined according to market mechanisms. The exchange rates of the Egyptian pound against the dollar and some other currencies have also fallen.

The board of directors decided on 14 February 2024 to liquidate FRIDOM Dairy International Company for dairy products (associate) for inactivity, in which Domty contributes 49% of the capital. Knowing that the paid-up capital amounts to USD 600,000 and is currently undergoing the legal liquidation procedures.

The impact of the current uncertain economic environment is discretionary, and management will continue evaluating the current situation and its impact regularly. It must be taken into consideration that the assumptions used regarding the economic speculations are subject to a high level of uncertainty and so, actual results may vary greatly from expectations. The company took into consideration the potential effects of the current fluctuations in the economy in determining the amounts of financial and non-financial assets of the Company and represents the best management assessment based on available information. And yet, the markets remain volatile, and the amounts remain highly sensitive to market volatility.

The exchange rates of the Egyptian pound against the Dollar and some other currencies also declined.

SUBSEQUENT EVENTS

The Ordinary General Assembly held on April 14, 2024, approved the proposed dividend distribution account for the profits of 2023, amounting to 185,904,300 Egyptian pounds.

35-COMPARATIVE FIGURES

Comparison figures are reclassified whenever necessary to align with changes in the presentation used for the current period.